STATE OF NEW YORK

PUBLIC SERVICE COMMISSION

CASE 23-G-0225 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of the Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service

CASE 23-G-0226 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service

WE ACT FOR ENVIRONMENTAL JUSTICE'S REPLY TO STATEMENTS IN SUPPORT OF THE JOINT PROPOSAL

May 10, 2024

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PRELIMINARY STATEMENT

In accordance with the April 11, 2024, Ruling on Schedule, WE ACT for Environmental Justice ("WE ACT") hereby submits this Statement in Reply to the Initial Statements on the Joint Proposal filed on May 1, 2024, in the above captioned proceeding.

WE ACT argues that the Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service and KeySpan Gas East Corporation d/b/a National Grid for Gas Service (together, the "Companies") and the Signatory Parties to the Joint Proposal have not met their burden of proving that the Joint Proposal is in the public interest,[1] and more specifically, that the Joint Proposal complies with the Climate Leadership and Community Protection Act ("CLCPA"). Upon reading the statements submitted by the parties in these proceedings, WE ACT believes that having the Commission approve the Joint Proposal without any modifications will result in both environmental and financial harm, particularly to residential low-income and disadvantaged customers.

In the Statement of Opposition to the Joint Proposal, WE ACT described its concerns as they pertained to unjust and unreasonable rates: the imprudent investments found in Section 10 of the Joint Proposal—Gas Safety Performance Metrics and removal and replacement of leak prone pipe; nonbinding Non-Pipeline Alternatives ("NPAs") targets; four new, polluting biomethane interconnection facilities that will almost certainly disproportionately burden Disadvantaged Communities ("DACs") in contravention of the CLCPA; and requests for rate recovery that conflict with State and Federal law and the Commission's guidance regarding utilities' political activity. For all of the reasons discussed herein, WE ACT once again urges the

[1] The Commission has explained its "public interest" standard includes an analysis of "the settlement's consistency with law and with the regulatory, economic, social, and environmental policies of the Commission and the State." Opinion, Order and Resolution Adopting Settlement Procedures and Guidelines at 30, NY PSC Case Nos. 90-M-0255 & 92-M-0138 (March 24, 1992).

Public Service Commission ("PSC" or "Commission") to modify and reject certain sections of the Joint Proposal.

ARGUMENT

I. THE DEPARTMENT OF PUBLIC SERVICE AND THE COMPANIES MISCONSTRUE THE CLCPA.

A. To Find the Joint Proposal Complies with the CLCPA, the Commission Must Complete a Section 7(2) Analysis.

WE ACT agrees with both the Department of Public Service ("Staff") and the Companies' interpretation of the CLCPA but disputes Staff's application and analysis of the law. As WE ACT explained in its Statement in Opposition, CLCPA Section 7(2) requires all state agencies to "consider whether [their] decisions are inconsistent with or will interfere with the attainment of the statewide greenhouse gas emissions limits established in [the CLCPA]."[2] For each inconsistent or interfering decision, the agency "shall provide a detailed statement of justification as to why such limits/criteria may not be met and identify alternatives or greenhouse gas mitigation measures to be required where such project is located."[3] To put it more simply, Section 7(2) of the CLCPA has three elements: (1) the Commission must consider whether approving the Joint Proposal would be inconsistent with or interfere with the attainment of the Statewide greenhouse gas emissions limits; (2) if approval of the Joint Proposal would be inconsistent with or interfere with the CLCPA, the Commission must provide a detailed statement of justification for each part or the entire Joint Proposal, notwithstanding the inconsistency; and (3) in the event a sufficient justification is available, the Commission will also

[2] Statement of WE ACT for Environmental Justice in Opposition to the Joint Proposal at 6, NY PSC Case Nos. 23-G-0225 & 23-G-0226 (May 1, 2024) (citing 2019 Sess. Laws of N.Y. Ch. 106 (S. 6599) § 7(2)) ("WE ACT Statement in Opposition").
[3] 2019 Sess. Laws of N.Y. Ch. 106 (S. 6599) § 7(2).

have to identify alternatives or greenhouse gas mitigation measures, required for the Joint Proposal.[4]

Staff and the Companies have no basis to conclude that all sections of the Joint Proposal comply with New York's Climate Law. Both the Joint Proposal and the record fail to identify demonstrable and quantifiable reductions in greenhouse gas emissions that satisfy the first element of Section 7(2) to determine whether the capital investments and programs found in the Joint Proposal will be inconsistent or interfere with attainment of the statewide greenhouse gas ("GHG") emissions limits. The record omits information pertaining to the calculation of system wide emissions, including both direct and upstream GHG emissions. In their Statements in Support of the Joint Proposal, Staff and the Companies both provide lists of projects they believe make the Joint Proposal consistent with the CLCPA,[5] but the only guaranteed emissions reductions based on concrete data will come from the energy efficiency and demand response programs (the energy efficiency savings and targets are established in the New Efficiency: New York Order, Case 18-M-0084) as well as the leak prone pipe program, which the Companies have been refining since 2013.[6] The majority of the listed projects, such as Advanced Leak Detection, the biomethane interconnection projects and the requirement for Companies to consider NPAs and "thermal energy networks or individual ground- or air-source heat pumps for affected customers"[7] in lieu of pipe replacement have yet to undergo a full and exhaustive GHG analysis. Even more, these projects alone are insufficient to determine consistency under the

[4] Letter from Daniel Whitehead, DEC Div. of Env't Permits, to Andrew Scano, Astoria Gas Turbine Power, LLC regarding Notice of Denial of Title V Air Permit at 7 (Oct. 27, 2021), https://extapps.dec.ny.gov/docs/permits_ej_operations_pdf/nrgastoriadecision102721.pdf ("Astoria Decision").
[5] DPS Staff Statement in Support of the Joint Proposal at 10–11, NY PSC Case Nos. 23-G-0225 & 23-G-0226 (May 1, 2024) ("Staff Statement in Support"); Statement of the Brooklyn Union Gas Company d/b/a National Grid NY and Keyspan Gas East Corporation d/b/a National Grid in Support of Joint Proposal at 11–13, NY PSC Case Nos. 23-G-0225 & 23-G-0226 (May 1, 2024) ("KEDNY/KEDLI Statement in Support").
[6] Companies' Pre-Filed CLCPA Panel Testimony at 15.
[7] Staff Statement in Support at 11.

CLCPA, as these projects—the NPAs and thermal energy networks—are aspirational with no binding targets. As WE ACT explained in its Statement in Opposition, the Companies have yet to implement a successful, non-fossil fuel NPA[8] and, as explained below, the Companies cannot claim GHG emissions reductions from the biomethane projects.[9] Staff also posits that tracking "environmental efforts" such as energy efficiency spending, demand response participants and total program savings, and the Companies' efforts to train residents in DACs for clean energy related jobs are sufficient to establish consistency with the CLCPA.[10] While these "environmental efforts" may result in more transparency, tracking information does not result in emissions reductions. Based on the information found in the record and the Joint Proposal, the Commission will be unable to conduct a robust analysis and find that the Joint Proposal is consistent or will interfere with the State's climate mandates.

Under Section 7(2), if the Commission intends to approve a Joint Proposal that is inconsistent with or interferes with attainment of the CLCPA's statewide GHG emissions reductions mandates, it "shall provide a detailed statement of justification as to why such limits/criteria may not be met." Greenwashing terms in the Joint Proposal that vaguely imply that the utility is committed to emissions reductions, but do not "require specific actions by the Compan[ies] that are likely to result in demonstrable and quantifiable reductions in greenhouse gas emissions to advance the CLCPA's objectives" should be discounted by the Commission during the consistency inquiry.[11] Staff presses an incomplete application of the justification element of Section 7(2) that would lead to absurd results and would render the justification

[8] WE ACT Statement in Opposition at 17.
[9] *Id.* at 29–30.
[10] Staff Statement in Support at 11.
[11] *See* Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans, with Additional Requirements at 77, 79–80, NY PSC Case Nos. 21-E-0074 & 21-G-0073 (Apr. 14, 2022); *cf.* ECL § 75-0109(3)(b) (implementing regulations promulgated by DEC must guarantee that "greenhouse gas emissions reductions achieved are real, permanent, quantifiable, verifiable, and enforceable").

element meaningless. Under Staff's reading of the CLCPA, a Joint Proposal is justified because it "provides for the necessary and legally required provision of safe, reliable, and adequate service to the Companies' gas customers."[12] Based on Staff's theory, the justification element is satisfied when an application attempts to comply with another law—here, the Public Service Law's requirement to provide safe and reliable service at just and reasonable rates. The CLCPA imposes additional requirements in the Commission, and Staff ignores the Commission's obligation to also conduct a fact specific inquiry by measuring the GHG emissions of projects and terms contained in the Joint Proposal.

Staff's incomplete discussion and application of the CLCPA Section 7(2) criteria is both troubling and confusing. When an agency finds an application is inconsistent or will interfere with the climate mandates, a statement of justification should include an agency's consideration of alternatives "that do not create GHG emissions or result in less GHG emissions" as well as a "[d]escription of the harm associated with the absence of the project (environmental, economic, social)."[13] A demonstrated impact on the "safety and reliability of the State's energy systems" can be a legitimate justification for an inconsistent project, term, or overall Joint Proposal, if no feasible alternatives to approval exist.[14] Thus, through this second element, Section 7(2) grants latitude to the Commission to comply with concurrent obligations under the Public Service Law, so long as the agency affirmatively demonstrates that there is no feasible way to achieve safe and reliable service at just and reasonable rates in a less GHG intensive manner. Here, Staff muddles

[12] *Id.* at 12.
[13] *See* CP-49 / Climate Change and DEC Action at 7 (rev'd Dec. 14, 2022), https://extapps.dec.ny.gov/docs/administration_pdf/cp492022.pdf.
[14] *See* Astoria Decision at 15; CP-49 at 7–8; Order Approving the Joint Proposal, as Modified and Imposing Additional Requirements at 74, NY PSC Case Nos. 19-G-0309 & 19-G-0310 (Aug. 12, 2021) ("[T]o the extent that certain capital projects authorized under the Joint Proposal may be considered inconsistent with the CLCPA's greenhouse gas emissions limits, those projects would be justified based on the need to ensure safe and reliable service.") ("2021 KEDNY/KEDLI Order").

through the plain language of Section 7(2) by failing to proffer an alternatives analysis—whether the Companies can meet its statutory requirement of providing safe and reliable service with alternatives that would not emit greenhouse gases at just and reasonable rates.

Even more perplexing, Staff seems to inexplicably suggest that the Commission could justify its adoption of a Joint Proposal inconsistent with the CLCPA because of the "meaningful progress" toward achieving emissions reductions and the "meaningful tools" used to report benefits and burdens to DACs would mitigate the inconsistencies.[15] Meaningful tools and progress, while welcomed, do not meet the requirements of the CLCPA, are not measurable and are not binding. When a project, term, or overall Joint Proposal is justified despite inconsistency with the CLCPA, the Commission must ensure that the resultant GHG emissions are offset by substantial mitigation measures. Mitigation measures "must result in at least a reduction in GHG emissions equivalent to the GHG emission increases from the project, or must ensure that the project is reducing GHG emissions over time consistent with the requirements of the CLCPA."[16] If a large amount of GHG emissions result from an inconsistent element of the Joint Proposal, then "more than one mitigation measure to achieve the necessary reduction" may be required by Section 7(2).[17] The emissions reductions from these mitigation measures must be "measurable… real, additional, quantifiable, permanent, verifiable, and enforceable," and the Commission

[15] Staff Statement in Support at 12.
[16] CP-49 at 8; *see also* Astoria decision at 11, 17 (finding that a mitigation measure that would result in GHG emissions savings of 1,077 short tpy of CO2e was insufficient to allow for approval of a project that would have increased emissions by 71,616 short tpy of CO2e); *cf.* Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plan at 41, NY PSC Case Nos. 20-E-0428 & 20-G-0419 (Nov. 18, 2021) (finding that "overall emissions reduction could be achieved" with measures of the Joint Proposal offsetting the increase in emissions from growth in gas and electric sales) ("Central Hudson Order").
[17] *See* DAR-21: The Climate Leadership and Community Protection Act and Air Permit Applications at 6 (Dec. 14, 2022), https://extapps.dec.ny.gov/docs/air_pdf/dar21.pdf; *cf.* Central Hudson Order at 41 (stating that emissions increases resulting from rising gas and electric sales are offset by multiple measures throughout the Joint Proposal, including "EAM targets, capital plans and non-pipe alternatives"); 2021 KEDNY/KEDLI Order at 74 (pointing to multiple mitigation measures including "extensive energy efficiency and demand response programs required under the proposal").

cannot achieve its obligation to offset emissions by pointing to reductions resulting from actions "already required by law or that the State is already undertaking."[18] "Finally, mitigation must be undertaken at the project site or in the surrounding community whenever possible."[19] Neither the record, the Joint Proposal, Staff nor the Companies have provided nor identified mitigation measures to offset GHG emissions.

B. The Commission Cannot Find that the Joint Proposal Complies with CLCPA Section 7(3).

The Commission cannot make a finding that the Joint Proposal is consistent with Section 7(3) because the Companies have not provided the information needed to determine if the Joint Proposal's terms would disproportionately burden disadvantaged communities, such as the baseline of existing burdens or the pollution that will result from any capital investments authorized by the Joint Proposal.[20]

Section 7(3) of the CLCPA requires that state agencies ensure that their decisions do "not disproportionately burden disadvantaged communities" and "prioritize reductions of greenhouse gas emissions and co-pollutants" in such communities. In addition to prohibiting disproportionate burdens on, and mandating pollution reductions in, disadvantaged communities, the CLCPA calls for disadvantaged communities to enjoy the benefits of clean energy and energy efficiency investments. Specifically, the CLCPA mandates that at least 35%, with a goal of 40%, of the benefits of spending on clean energy and energy efficiency accrue to disadvantaged communities.[21] The prohibition on decisions that would disproportionately burden disadvantaged

[18] CP-49 at 8.
[19] DAR-21 at 6.
[20] *See, e.g.*, 2021 KEDNY/KEDLI Order at 81 (concluding that additional vaporizers at Greenpoint liquified natural gas facility do not disproportionately burden disadvantaged communities because they "would have no associated impacts to the local community"); *see also* DEP 24-1 / Permitting and Disadvantaged Communities at 5 (May 8, 2024), https://dec.ny.gov/sites/default/files/2024-05/prgrmpolicy24dash1.pdf (baseline burdens and potential pollution impacts are key to conducting a 7(3) analysis).
[21] ECL § 75-0117.

communities is distinct from the requirement that at least 35% of clean energy and energy efficiency benefits flow to disadvantaged communities. It is also distinct from requirements imposed by Section 7(2).

Staff's Statement in Support of the Joint Proposal fails to articulate a clear application of the Section 7(3) requirements, seeming to conflate the provision with Section 7(2) by discussing the CLCPA's greenhouse gas emissions targets rather than burdens on disadvantaged communities.[22] While the Companies' application of Section 7(3) is easier to understand, it is incorrect. Although the Commission has previously concluded that a Joint Proposal could both avoid disproportionate burdens on disadvantaged communities and provide safe and reliable service, that does not mean that providing safe and reliable service automatically fulfills the mandate of Section 7(3), as the Companies suggest.[23] The legal obligation to provide safe and reliable services flows from the Public Service Law and predates the CLCPA, a new statute that imposes new requirements on the Commission. Moreover, Section 7(3) instructs agencies such as the Commission to assess whether their decisions would disproportionately burden disadvantaged communities and prohibits any decision that would. Even if gas service constituted a benefit under the CLCPA—which it does not—that would not relieve the Commission of the obligation to prevent any disproportionate burdens on disadvantaged communities.

WE ACT welcomes Section 7.3 of the Joint Proposal but is troubled by the Companies' interpretation of the provision. Section 7.3 provides that for any capital project with estimated costs of $1 million or greater, the Companies must determine whether some or all of the project is located in a disadvantaged community or could reasonably be expected to impact a

[22] Staff Statement in Support at 9.
[23] KEDNY/KEDLI Statement in Support at 13 (citing 2021 KEDNY/KEDLI Order at 81).

disadvantaged community, and if so, provide the following information: (1) greenhouse gas or co-pollutant emissions increased or reduced as a result of the investment; (2) the potential contribution to existing pollution burdens in the community; and (3) proposed project design considerations including a description of actions to eliminate disproportionate burdens associated with greenhouse gas or co-pollutant emissions.[24] Therefore, the Joint Proposal would require the Companies not only to determine if capital investments of at least $1 million would disproportionately burden disadvantaged communities, but also, take steps to eliminate those burdens. Indeed, doing so would be necessary in order to allow the Commission to find that allowing rate recovery for such investments would not disproportionately burden disadvantaged communities, as required by CLCPA Section 7(3). However, the Companies' Statement in Support of the Joint Proposal frames Section 7.3 as simply requiring the Companies "to provide data related to GHG and co-pollutant emissions and project design for any capital project with an estimated cost of $1 million or greater than is located in or reasonably expected to impact a disadvantaged community in their next rate case."[25] WE ACT urges the Commission to make clear in the rate order that Section 7.3 requires the Companies to not only assess, but also eliminate, the disproportionate burdens of any capital investments of at least $1 million in the next rate case.

II. THE NEW BIOMETHANE INTERCONNECTIONS ARE IMPRUDENT INVESTMENTS, PROVIDE NO CLIMATE BENEFITS, AND ARE INCONSISTENT WITH THE SCOPING PLAN.

The Joint Proposal authorizes rate recovery for four new biomethane interconnections.[26] The interconnections are imprudent investments, are inconsistent with attaining the CLCPA

[24] Joint Proposal at 51–52, NY PSC Case Nos. 23-G-0225 & 23-G-0226 (April 9, 2024) ("Joint Proposal").
[25] KEDNY/KEDLI Statement in Support at 59.
[26] Joint Proposal at 56.

greenhouse gas reduction requirements, conflict with the Climate Scoping Plan, and are likely to disproportionately burden disadvantaged communities. In arguing otherwise, the Companies and Staff misunderstand the risks posed by the interconnections, the interconnections' inherent inability to provide climate benefits if the Companies do not buy the associated environmental attributes, and the Scoping Plan.

A. The Biomethane Interconnections Pose Unnecessary Risk to Ratepayers.

As detailed in WE ACT's Statement in Opposition to the Joint Proposal, granting rate recovery for the four new biomethane interconnections as provided by Section 7.8 of the Joint Proposal would result in unjust and unreasonable rates because the interconnections are not necessary to serve ratepayers.[27] The Companies and the City of New York ("the City") incorrectly state in their Statements in Support that the projects will provide reliability benefits,[28] but as discussed in WE ACT's Statement in Opposition, the Companies have submitted no evidence to support this claim.[29]

The Companies also erroneously claim that the Joint Proposal minimizes impacts on customers by deferring revenue requirement impacts for future recovery.[30] Staff similarly asserts that the Joint Proposal "insulat[es] customers from the risks" of the projects because it addresses concerns about their reaching completion.[31] However, as established by the Companies' experience with the biomethane production facility at the Newtown Creek Wastewater Treatment Plant ("Newtown Creek Project"), the interconnections pose a risk to customers even if no rate recovery occurs before construction. After years of delay, even after coming online in March

[27] WE ACT Statement in Opposition at 22–25.
[28] KEDNY/KEDLI Statement in Support at 64; Statement of the City of New York in Support of the Joint Proposal at 29, NY PSC Case Nos. 23-G-0225 & 23-G-0226 (May 1, 2024) ("NYC Statement in Support").
[29] WE ACT Statement in Opposition at 23.
[30] KEDNY/KEDLI Statement in Support at 65.
[31] Staff Statement in Support of the Joint Proposal at 87–88, NY PSC Case Nos. 23-G-0225 & 23-G-0226 (May 1, 2024) ("Staff Statement in Support").

2023, the Newtown Creek Project has been offline for almost as many hours as it has been online due to malfunctions and maintenance issues,[32] demonstrating the risk that even once the new interconnections are constructed, biomethane supply will not be continuous or guaranteed. There is no reason to conclude that the interconnections will make a meaningful contribution to providing reliable service, let alone that they are necessary, and therefore, allowing rate recovery would result in unjust and unreasonable rates.[33]

B. The Companies Cannot Claim Any Emissions Reductions from the Biomethane Interconnections.

WE ACT explained in opposing the Joint Proposal that the biomethane interconnections will likely increase greenhouse gas emissions, and the Companies may not claim any emissions reductions from using biomethane if they do not purchase the associated environmental attribute credits.[34] If the Companies claim emissions reductions from using biomethane, and the entity that purchases the environmental attribute credits also claims emissions reductions associated with the same biomethane, the result is textbook double counting of emissions reductions—which, as the U.S. Environmental Protection Agency explains, "falsely depict[s]" the number of organizations that are reducing their emissions.[35] Nonetheless, both Staff and the Companies incorrectly assert that the biomethane interconnections will contribute to achieving the CLCPA's greenhouse gas targets.[36] The Companies' claim is particularly galling given their admission that "emissions reduction benefits associated with [biomethane] produced from the Newtown Creek

[32] WE ACT Statement in Opposition at 26.
[33] *See* Order Approving Joint Proposal, as Modified, and Imposing Additional Requirements at 111, NY PSC Case Nos. 19-G-0309 & 19-G-0310 (Aug. 12, 2021) ("[T]he Companies are required to make only those investments that are prudent and necessary to serve their customers and any new customers that they are required to serve.").
[34] WE ACT Statement in Opposition at 29–30.
[35] U.S. Env. Prot. Agency, *Double Counting*, https://www.epa.gov/green-power-markets/double-counting (last updated Jan. 15, 2024).
[36] Staff Statement in Support at 88; KEDNY/KEDLI Statement in Support at 64–65.

Project are tied to the environmental attributes being sold, and are therefore transferred with the sale of the attributes."[37] The same principle applies here.

Nor can Staff and the Companies hide behind the Joint Proposal's requirement that the Companies "engage" biomethane developers to "discuss options" to sell environmental attribute credits to voluntary purchasers in New York.[38] Despite the Companies' claim that this requirement "addresses intervenors' concerns regarding the use of environmental attributes,"[39] WE ACT remains very concerned, for two reasons. First, the Joint Proposal only commits the Companies to have a conversation with the developers. As detailed in WE ACT's Statement in Opposition to the Joint Proposal, the developers should be expected to sell the environmental attribute credits to the highest bidders, who will be out-of-state purchasers who plan to use the credits to comply with one or more regulatory requirements.[40] Second, even if the developers did sell the environmental attribute credits to New York purchasers, those purchasers—and not the Companies—would then have the right to claim any emissions reductions associated with the biomethane. Under any scenario, the Companies cannot claim any climate benefits from the biomethane interconnections.

C. The Biomethane Interconnections Are Inconsistent with the Scoping Plan.

The biomethane interconnections contravene the Scoping Plan's recommendations that biogas be used close to the source, that New York's gas distribution system be downsized, and that alternative combustion fuels be confined to "strategic" uses.[41] The Companies and Staff both quote the Scoping Plan out of context to suggest support for using biomethane "to decarbonize

[37] Companies' Response to WE ACT IR 143(a), WE ACT Statement in Opposition, Ex. R.
[38] Joint Proposal at 56.
[39] KEDNY/KEDLI Statement in Support at 65.
[40] WE ACT Statement in Opposition at 30.
[41] *Id*. at 31–32.

the gas system as it transitions."[42] WE ACT finds it troubling that the Companies and Staff either misunderstand or misconstrue the Scoping Plan's findings regarding biomethane. The full quote reads:

> The [Climate Action] Council ***has reviewed the potential use*** of alternative fuels such as [biomethane] and green hydrogen in the gas system for space heating or process use where electrification is not yet feasible or to decarbonize the gas system as it transitions. While there may be a strategic role for the system to transport [biomethane], the potential in-state availability and resource size of [biomethane] is currently small as compared with current levels of fossil natural gas use.[43]

The Scoping Plan concludes that before biomethane is used in the gas system, there must be "demonstrated air quality, health, and [greenhouse gas] benefits . . . , including requirements to avoid localized pollution in Disadvantaged Communities."[44] Not only have the Companies failed to demonstrate any benefits of the interconnections—as detailed in WE ACT's Statement in Opposition, the interconnections will increase net greenhouse gas emissions, threaten air quality and health, and add to localized pollution in Disadvantaged Communities.[45] The interconnections are manifestly inconsistent with the Scoping Plan recommendations and the Commission should reject any argument to the contrary.

D. The Interconnections Will Harm Local Residents and Rate Recovery Likely Violates CLCPA Section 7(3).

None of the signatories to the Joint Proposal address WE ACT's concerns about the local impacts of the biomethane interconnections— which include emissions of harmful air pollution such as nitrogen dioxide and ammonia, truck traffic, and the possibility of biogas flaring—and

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[42] Staff Statement in Support at 87 (quoting N.Y. Climate Action Council, *Final Scoping Plan*, 351 (2022), https://climate.ny.gov/-/media/project/climate/files/NYS-Climate-Action-Council-Final-Scoping-Plan-2022.pdf); KEDNY/KEDLI Statement in Support at 65 (quoting same).
[43] N.Y. Climate Action Council, *Final Scoping Plan*, 351 (2022), https://climate.ny.gov/-/media/project/climate/files/NYS-Climate-Action-Council-Final-Scoping-Plan-2022.pdf (emphasis added).
[44] *Id*. at 361.
[45] WE ACT Statement in Opposition at 33–36.

the likelihood that rate recovery therefore violates Section 7(3) of the CLCPA.[46] While WE ACT understands the City's need to manage waste disposal, siting polluting energy infrastructure in or next to DACs at ratepayer expense is not the solution—the City should instead expand alternatives to anaerobically digesting food waste such as community composting rather than defunding composting programs.[47] The record cannot support a determination that Section 7.8 of the Joint Proposal is "in the public interest," as the Companies claim, or that it does not disproportionately burden Disadvantaged Communities and therefore violate CLCPA Section 7(3).

III. NEIGHBORS OF THE NEWTOWN CREEK BIOMETHANE PROJECT NEED ADDITIONAL PROTECTIONS.

As detailed in WE ACT's Statement in Opposition to the Joint Proposal and recognized by the City of New York, the Newtown Creek Project has been "plagued" with problems "since [KEDNY] began operations in 2023, after several years of delay," leading to biogas flaring when the Project is offline.[48] The Joint Proposal requires KEDNY to negotiate a Service Level Agreement with the City within 30 days requiring: (1) automated notifications of system outages to the City Department of Environmental Protection ("DEP") within one hour; (2) that KEDNY assess any outage within three hours during business hours and within 4.5 hours during off-hours, weekends, and holidays; and (3) that KEDNY provide DEP and Community Board No. 1 with information on remedial action and the anticipated restoration time if the Project will be offline for more than 24 hours continuously or 48 hours in a given month.[49] The Companies' assertion that these requirements represent "a reasonable resolution of concerns expressed about

[46] *See* Sonal Jessel Pre-Filed Direct Testimony at 28–29, 41 (Sept 1, 2023) ("Jessel Testimony); *see also* WE ACT Statement in Opposition at 33–36.
[47] *See* Samantha Maldonado, *Less Compost, More Methane Gas and Landfill Loom in Proposed Budget Cuts*, The City (Nov. 28, 2023), https://www.thecity.nyc/2023/11/28/budget-cuts-compost-methane-landfill/.
[48] NYC Statement in Support at 26–27; WE ACT Statement in Opposition at 25–28, 35–36.
[49] Joint Proposal at 57–58.

the Newtown Creek Project"[50] mocks the burdens that the Project's neighbors have been living with for years, which include emissions of harmful pollutants that can cause asthma, cardiovascular disease and premature death; disruptive vibrations through the neighborhood; and frustrated efforts to obtain information about what is happening at the Project.[51] Notably, the Joint Proposal does not place any limits on the time that the Project can be offline or require KEDNY to fix outages within a certain amount of time. Notification requirements are a good first step, but they are insufficient.

While WE ACT welcomes the conditions that the Joint Proposal would place on the Newtown Creek Project, more is needed to protect the local community, including requirements that KEDNY communicate directly with community members through regular meetings as well as penalties on KEDNY if the Project is offline for a certain amount of time.

CONCLUSION

WE ACT urges the Commission not to approve the Joint Proposal as written, but rather, to modify the Joint Proposal to address the concerns discussed above and in WE ACT's Statement in Opposition to the Joint Proposal.

[50] KEDNY/KEDLI Statement in Support at 66.
[51] WE ACT Statement in Opposition at 25–28, 35–36.

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